plan abated due to the uncertainty surrounding the new leader's economic philosophy. But the exercise did not stop.

The 2.0 version titled 'A Strategic Plan for the 1990s' was essentially an update of Ratan's first plan. The 'environmental, regulatory and economic assumptions' made at that time had 'undergone considerable change'. In an interview he gave to a leading business journal barely a month after taking over as chairman, Tata Sons, Ratan said: 'A reason why we undertook the strategic planning exercise at this juncture is that all the earlier projects have now gone on stream, and it is time to look for new opportunities.'

Two separate subgroups were created to 'scan the technological environment and identify technology-based opportunities' and prepare the group financially to undertake new ventures. The first was headed by Homi Sethna and looked specifically at biotechnology, new materials and electronics as promising areas. The second was headed by N.A. Soonawala and was tasked to analyse the competitive strategy and financial performance of successful companies to glean knowledge to prepare a corporate strategy for Tata Industries.

This sub-group concluded that those companies that had invested in fixed assets for expansion, modernization or diversification had achieved the highest growth. It noted that Bajaj Auto, Indian Hotels and Reliance Industries had successfully adopted such an approach.

The recommendations made were not only for TIL but for other group companies that chose to adopt them. Ratan expected that its recommendation would 'facilitate the induction of new technology based activities into Group companies to enable them to diversify' and create synergy amongst 'Group companies operating in similar business areas'. In addition, the exercise was also expected to provide 'value and interest' to other companies to undertake similar strategic exercises.

The revised version consequently saw reprioritized and new directional goals. It emphasized the identification of areas with high growth potential. Commenting on this aspect, Ratan said, 'Today, we are looking a little deeper, perhaps, at the same areas which had been covered the last time—for example, electronics or biotechnology.'

Another focus area was less capital-intensive projects. Ratan explained, 'We have been gravitating to the realization that India will not be the factory of the world like China or Korea. The focus, therefore, from our side is much more on looking at industries or businesses that are not so